



GCI Consulting

PedalSpark Case Analysis

Team 3: Aman Kureel, Daniyar Kurmangozhin, Rahul Bajaj, Shefali Bhardwaj, Yue Pan.



Current Situation

5“C”s

Company

- 1. Strength:** High-end e-bike segment (luxury \$4K e-bike being recognized on several "best e-bike" sites); a successful direct-to-consumer sales model
- 2. Weakness:** Lack experience in the broader, more price-sensitive market segment

Collaborator

- 1. Existing:** Suppliers, direct sales platforms (their own website), some niche marketing or e-bike enthusiast communities
- 2. Potential:** Larger online retailers like Amazon, physical retailers

Customer

- 1. Existing:** Enthusiasts, higher-income individuals
- 2. Potential:** Price-sensitive riders, new to e-bikes

Competitor

- 1. Existing:** Those already have established sales channels, including online marketplaces and physical retail (e.g., Giant Bicycles, Cannondale)
- 2. Potential:** Those with stronger brand recognition in the lower price segments (e.g., Rad Power Bikes, Ancheer)

Context

- 1. Business:** Explosive growth for e-bike market, indicating a favorable environment for new products
- 2. Environmental:** Environmental consciousness, urban transportation challenges
- 3. Economic:** Disposable income levels, consumer willingness to invest in sustainable transportation options

Key Challenges

1. Market segmentation and positioning
2. Sales channel strategy
3. Strategic dilemma between brand building vs. VUCA Vortex

Complication

Segmentation

1. Young professionals
2. Students
3. Delivery personnels
4. Recreational/leisure riders
5. Environmentally-conscious riders



Meet Bonnie

Occupation: Marketing Associate at a Tech Startup
Location: Miami, Florida (Dense Urban Environment)
Lifestyle: Busy professional with an active social life. Lives in a walkable neighborhood close to work and enjoys exploring different areas of the city. Environmentally conscious and values healthy living.

Targeting

1. Young professionals

Job: Convenient urban commuting

Pain Points:

1. Traffic
2. Health/Environment concerns
3. Parking issues

Gains:

1. Cheaper transportation
2. Sustainable solution for environmental impact
3. Healthier option
4. Saves time

2. Delivery personnels

Job: Delivering orders quickly and efficiently

Pain Points:

1. Delays due to traffic congestion
2. Difficulty finding parking in delivery locations
3. Unsatisfied customers means less tips

Gains:

1. Faster delivery times
2. Higher tips and better ratings
3. Satisfied customers
4. Easier parking and affordable transportation

Positioning

Benefits:

1. Increased efficiency and earnings
2. Reduced costs
3. Improved health and stamina
4. Better navigation across the city
5. Positive environmental impact



Meet Clyde

Occupation: Food Delivery Driver (Independent Contractor)
Location: Los Angeles, California (Sprawling Urban Environment)
Lifestyle: Works long hours delivering food orders across a large city with diverse terrain. Prioritizes maximizing his earnings and maintaining good physical health for the job.

Selling Online Is Not Something Pedal Spark Should Aim For

01

Risk of Data Exploitation

A startup named Pandemic Pedic saw Amazon launch a copycat mattress product within months of them starting sales on the platform.

02

Counterfeit Threats

Amazon has persistent issues with counterfeits - over 36% of brands encountered counterfeits on Amazon in 2022 as per surveys.

03

Lack of Control Over User Experience

With Amazon prioritizing its own policies, PedalSpark may not be able to provide the personalized experience. Top fashion brands like Nike have exited Amazon citing lack of brand control.

04

Brand Dilution

PedalSpark faces a risk of brand dilution just like Apple and Dyson products are frequently listed next to cheap knockoffs on Amazon.

05

Inability to Collect Customer Data

Third-party sellers cannot access buyer data, making retargeting and loyalty programs impossible.

06

Lesser Profit Margin

Studies show third-party margins at just 10-15% on Amazon versus 50%+ for direct online sales for some brands.

Assessing the Available Options to Figure Out the Best Fit

Exclusive

Pros:

- Personalized shopping experience for customers increases loyalty
- Complete control over premium brand experience and presentation.
- Higher margins by avoiding marketplace fees and pricing pressures.
- Direct customer data access for fostering customer relationships.
- Fostering brand loyalty through exclusive offers

Cons:

- Difficult to accelerate sales only through the website.
- Limited reach compared to massive platforms like Amazon.
- Higher marketing and customer acquisition costs.

Hybrid

Pros:

- Balances broad market reach for affordable bikes with exclusivity for high-end models.
- Leverages Amazon's massive customer base and trust for the affordable bike.
- Retains higher profit margins and brand control for the high-end bike on own site.
- Diversified revenue streams and reduces dependency on a single channel.

Cons:

- Managing two different sales channels can increase operational complexity.
- Potential brand dilution and risk of counterfeit
- May require different marketing strategies and inventory management for each channel.
- Risk of cannibalization between products if not positioned correctly.

Online

Pros:

- Immediate access to a vast customer base and global reach.
- Benefit from Amazon's trust, logistics, and customer service infrastructure.
- Reduced marketing costs due to high traffic on Amazon.
- Quick feedback and review mechanisms to improve products.

Cons:

- Lower profit margins due to Amazon fees and competitive pricing.
- Limited control over the customer experience and branding.
- Risk of dependency on Amazon's platform and policy changes.
- Intense competition with other sellers, including direct competitors.

Go Exclusive to Boost Profit and Build Personalized Customer Relationships

Why So?

Strong Brand Identity

Superior Customer Experience

Maximizing Profitability

- **Complete control** of customer purchase experience and brand image.
- **Storytelling Platform** for sharing mission, values, and the stories behind PedalSpark's bikes, creating an emotional connection with customers.
- **Personalized Service** offering personalized product recommendations, exceptional customer service, and seamless post-purchase support.
- **Targeted Marketing** using advanced analytics of customer data and feedback for personalized promotions, loyalty programs, and upselling opportunities.
- **Flexibility** due to quick reaction to market trends and customer feedback. This agility allows them to innovate and adapt to changing consumer needs.
- **Higher Margins** due to no marketplace fees.
- **Data-Driven Decisions:** Owning customer data provides valuable insights into preferences and buying habits.
- **Inventory Management:** PedalSpark can use customer data to optimize production, minimizing stockouts and overstock situations.
- **Strategic Partnerships** with corporates and institutions by pitching through the ESG narrative can help in boosting revenue.

Thank you!